



SYMBIOSIS INTERNATIONAL (DEEMED UNIVERSITY)

(Established under section 3 of the UGC Act, 1956)
Re-accredited by NAAC with 'A++' Grade Awarded Category - I by UGC

Seat No.					
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Institute: (0203)SYMBIOSIS CENTRE FOR MANAGEMENT AND HUMAN RESOURCE DEVELOPMENT,
PUNE

Programme: (020341) MASTER OF BUSINESS ADMINISTRATION

Batch: 2024-26

Semester: I

Course: Financial Accounting

Course Code: 0203410104

Date: 11/03/2025

Maximum Marks: 40

Day: Tuesday

Time: 09:30 - 11:00

NOTE : DO NOT WRITE ANYTHING ON THE QUESTION PAPER

Instructions:

- 1) All questions are compulsory.
- 2) Use of calculator is allowed

Q.1 Harrison, Charles & Company, Inc. sells flower planters for \$7 each. On its first day of business in January, the company purchased 2,000 planters for \$3 each. The company sold 300 units during the first month of operations and sold an additional 1,300 units the next month. To prevent inventory stock-outs during summertime, the company bought an additional 700 units for \$4.50 each in May. The company sold 850 units from May through December. The company uses the FIFO inventory costing method. Compute Harrison, Charles & Company's ending inventory balance at the end of the year and its cost of goods sold balance for the year.

(CO 1,3) (5 marks)

Q.2 On January 1, 2011, Moran Manufacturing has a building with a net book value of \$357,000, no salvage value, and a remaining useful life of 7 years. During January, major renovations in the amount of \$73,000 are conducted and add five more years to the building's useful life and increase the salvage value to \$40,000. Moran uses the straight-line method of depreciation.

a. Determine the amount of depreciation that Moran recorded in 2010.

(CO 2,3) (5 Marks)

b. Determine the net book value of the building immediately after the repairs were completed.

(CO 2,3) (3 Marks)

c. Calculate depreciation expense for the year 2011. Assume that the cost of the renovation is depreciated for a full year in 2011.

(CO 2,3) (2 marks)

Q.3 Ross Museum Shop has \$5,000 of accounts receivable at year end. Ross uses the allowance method and estimates bad debt expense at 5% of receivables. Ross's accountant passes an accounting entry creating bad debt expense at \$250 and reducing the balance in accounts receivable by the same amount.

- a. Explain why the above accounting effect is incorrect and provide the correct accounting transaction. (You may use accounting equation or journal entry).
(CO 1,2,3) (4 Marks)
- b. Show how Accounts Receivable will be presented in the Balance Sheet of the company.
(CO 1,2,3) (3 Marks)
- c. What other method can Ross use to estimate bad debts and discuss which method is better?
(CO 1,2,3) (3 marks)

Q.4 During 2010, Haslem Inc. invested \$105,000 to successfully develop a new product, and a patent was granted on December 31, 2010. Haslem incurred \$22,000 of legal fees and \$1,200 of registration fees to secure the patent. Haslem estimates that the patent will have a useful life of 10 years and no salvage value. On January 1, 2013, Haslem's major competitor announced that it had developed a similar product, which reduced the value of Haslem's patent to \$12,000. Haslem considers the loss in value permanent. Haslem has a December 31 year-end.

a. What amount should be recorded as the cost of the patent? How are the remaining costs treated for financial reporting purposes?

(CO1,2,3) (4 marks)

b. Compute amortization expense for the patent for years 2011 and 2012 and show how it will be presented in the Balance Sheet for both years.

(CO1,2,3) (4 marks)

c. What should Haslem do on January 1, 2013, if anything?

(CO1,2,3) (2 marks)

Q.5 a. Ivey Designs provides internet hosting services to customers who purchase annual maintenance contracts (Jan-Dec financial year). Ivey charges Rs. 1200 per year. On September 1, Durbin Farms signs a contract with Ivey and pays Rs. 1200. How should Ivey record the entry on September 1 and December 31 (You may use accounting equation or journal entry to explain).

b. Frank Fireworks has a pending lawsuit because of an accident. The suit has been filed and based on similar suits against other fireworks companies, Frank believes that it is probable that it will lose the lawsuit. However, the cost of the suit cannot be accurately estimated. How should Frank report this in his financial statements?

(CO1,2,3) (5 marks)